

Profit Niti AI CFO Report

1. Big Picture — How the Business Looks Right Now

The business is in a critical financial state, operating at a significant and persistent loss. Over the last four months, sales have been volatile, peaking in March but falling sharply in April, while the cost of goods sold consistently exceeds revenue, leading to deep negative gross margins. The company's total equity is deeply negative, exceeding -₹400 million, indicating that accumulated losses have completely eroded the shareholder capital, and the business is heavily reliant on debt to fund its operations. Cash flow from operations is negative, and the company is burning through cash, raising immediate concerns about financial sustainability.

GREEN FLAG BOX — What's Working Well:

- **Strong Sales Momentum (Q4):** The business achieved its highest quarterly sales of ₹3,715 million in Q4 FY25, demonstrating an ability to generate substantial top-line revenue.
- **Reducing Long-term Debt:** Secured long-term borrowings have been steadily reduced from ₹383 million in January to ₹266 million in April, improving the long-term liability structure.
- **Healthy Cash Balance:** Despite operational cash burn, the company maintains a robust cash and bank balance of over ₹217 million, providing a critical buffer for immediate obligations.

RED FLAG BOX — What Needs Attention:

- **Severe & Consistent Losses:** The company is deeply unprofitable, with a net loss of over ₹602 million in April alone and a quarterly (Q4) loss of ₹2,059 million. Gross margin is catastrophically negative at -60.7%.
- **Negative Shareholders' Equity:** Total equity stands at -₹408 million. This means losses have wiped out all capital, and the business is technically insolvent on a balance sheet basis.
- **Negative Operating Cash Flow:** Cash generated from core operations was -₹113 million in April, indicating the business model is not generating cash and is draining reserves.

CFO Advice:

Immediate survival hinges on radically fixing the core profitability issue. You must launch a urgent cost restructuring program, starting with a deep dive into COGS to understand why it's consistently higher than sales. Concurrently, prepare a detailed cash flow forecast for the next 90 days to manage the burn rate and explore all options to secure emergency working capital to bridge this crisis.

